

Prorations at Closing

In a perfect world, we'd know exactly which expenses belonged to the buyer and which expenses belonged to the seller, and no adjustments would be needed. But because many fees are paid in advance or arrears, and no one can predict when they will be changing hands, adjustments for prepaids and prorations will be made on the settlement statement.

Usually, **prorations** (proportionate calculations based on who actually owes an expense for a given period of time) are computed by the parties' attorneys and the lender. These figures may need to be adjusted at the closing if, for example, closing occurs on a different date than expected.

Typical prorated items are:

- Interest on assumed loans
- Taxes
- Rent
- Utility bills

Prorated items will be either accrued or prepaid. **Accrued** expenses go in the seller's debit column. They are expenses that the seller owes at the day of closing but that the buyer will eventually pay. The seller will give the buyer a credit for these items at closing. Typical prorated accrued items include:

- Unpaid real estate taxes
- Rent the seller collected from the tenant for a period of time in which the buyer will own the property
- Interest on the seller's mortgage that the buyer assumed (if applicable)
- Utilities billed and not paid in advance

Prepaid items go in the seller's credit column and the buyer's debit column. These include:

- Prepaid taxes
- Rent paid by the seller under a lease assigned to the buyer
- Utilities billed and paid in advance

If the property is a rental, *security deposits* received by the seller should be listed in the closing statement as a *credit to the buyer*.

When all is said and done with the adjustments, the bottom line should be a *reconciliation* between debit and credit columns for both parties.